January - June 2016

Monetary Policy Statement



Monetary Policy Department and Chief Economist's Unit

Bangladesh Bank



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Highlights

- Broad money (M2) is projected to grow at 15.0 percent in June 2016 from 14.2 percent in December 2015. M2 is adequate to support the growth and inflation targets. It has also taken the growth rates of both public and private credit into account.

- Domestic credit is projected to grow at 15.5 percent at the end of the fiscal year 2016 from 10.9 percent in December 2015. Private sector credit is projected to grow at 14.8 percent in June 2016 from 13.8 percent in December 2015. Public sector credit is expected to grow at 18.7 percent from a negative number of 1.7 percent in December 2015.

- Inflation is expected to land in 6.07 percent in June 2016 from 6.20 percent in December 2015. Some effects of pay rise in the government sector are likely to be canceled out by the dampening fuel and commodity prices.

- After keeping a static set of policy rates: repo and reverse repo rates for a while, Bangladesh Bank now decides to lower the repo rate and reverse repo rate by 50 basis points, sending the repo to 6.75 percent and reverse repo to 4.75 percent from the current rates. This move will attempt to dampen other interest rates in the market and thus will help investment stimulate. Necessary market alignments warranted this change.

- This is an investment stimulating monetary policy that will focus on quality credit expansion through an inclusivity approach. Selective easing for agricultural and other productive sectors will draw enhanced attention.

- The falling fuel and commodity prices have globally created a low-inflation environment, paving the way for a considerable reduction in policy rates and thus signaling the market to raise investment when macro stability is commendable.

- Bangladesh Bank made a strategic shift in loan disbursement policy. All banks will be encouraged to substantially increase advances for micro, small, and medium enterprises.

- Bangladesh Bank's supervisory vigilance on banking governance will be straightened further to clamp down on loan delinquencies.

- As before, Bangladesh Bank's monetary and financial policy stance remains grounded on the developmental central banking mandate enshrined in its charter.

Bangladesh Bank's Monetary Policy Stance

for the Second Half of the FY2016: January-June 2016

This Monetary Policy Statement (MPS) is announcing Bangladesh Bank's monetary policy stance for the second half (H2) of the FY16 as the second leg of its monetary program for the FY16, drawn up in the backdrop of sustained spell of CPI inflation moderation and output growth momentum upheld by cautious but explicitly growth supportive stance of monetary and financial policies pursued in the recent years. As usual, the FY16 monetary program and the monetary policy stance for the H2 of the FY16 have been chalked up drawing on the experience with the preceding program and on inputs from face to face and online stakeholder consultations.

Core Objectives

The main objective of Bangladesh Bank's monetary policy is moderation and stabilization of CPI inflation alongside supporting output and employment growth. Bangladesh Bank would accordingly emphasize on stabilizing CPI inflation. Bangladesh Bank's monetary and financial policies will continue supporting inclusive, environmentally sustainable growth; addressing its developmental role in the longer term risks to macro-financial stability alongside usual business cycle related short-term ones. The monetary policy stance for the H2 of the FY16, therefore, will highlight the following points.

- stabilizing inflation at moderate level targeted in the national budget and other macroeconomic policy pronouncements,
- supporting the public policy objectives of inclusive, environmentally sustainable growth, and
- maintaining orderliness in transition of domestic currency exchange rate to new market equilibriums in response to pick up in investment and consumption driven imports vis-a-vis trends of export receipts and other inflows.

As always, Bangladesh Bank formulates its monetary policy keeping two things in mind: monetary policy objectives and global as well as domestic developments.

Global Developments

The rare incidence of policy divergence between the USA and Europe, tensions in the Middle East and the resulting uncertainties in the future direction of fuel prices, China's slowdown and India's contrasting invigoration, and weaknesses in Latin America and Africa have set a confusing global backdrop, making

Table : Overview of the World Economic Outlook

GDP at constant prices	% change			Projections	
	2012	2013	2014	2015	2016
World	**3.4**	**3.3**	**3.4**	**3.1**	**3.6**
Advanced Economies	1.2	1.1	1.8	2	2.2
USA	2.2	1.5	2.4	2.6	2.8
Euro Area	-0.8	-0.3	0.9	1.5	1.6
Other Advanced Economies	1.7	2.1	2.8	2.2	2.4
Emerging Market and Developing Economies	5.2	5.0	4.6	4.0	4.5
China	7.7	7.7	7.3	6.8	6.3
India	5.1	6.9	7.3	7.3	7.5
Bangladesh	**6.3**	**6.0**	**6.3**	**6.5**	**6.8**

Source: IMF World Economic Outlook (October, 2015)

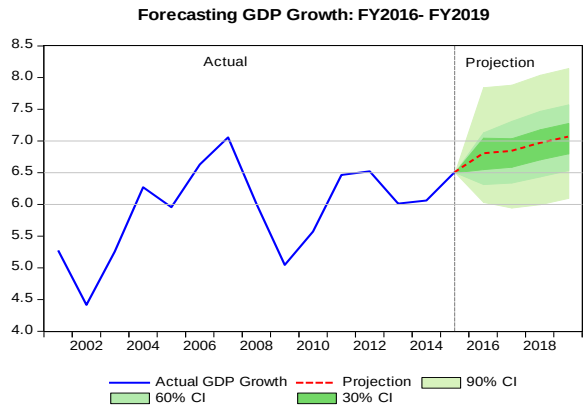
monetary policy in a developing economy like Bangladesh as a difficult task. The recent comment of the IMF chief about disappointing global growth for 2016 aggravated the doubts and discouraged investment decisions.

Bangladesh, however, sets a different tone of optimism in the sound ambiance of macro stability. Investments are likely to gear up in 2016 as the fiscal and monetary authorities are coordinating in the areas of inflation, interest rates, exchange rates and revenue collection, and ADP implementation. The government seems committed to augmenting the availability of infrastructure and energy. Given the experiences of 2015, political turbulence does not appear to flare up to destabilize the whole gamut of economic decisions in 2016.

Bangladesh's projected growth for 2016 will be almost double of the World's and higher than China's. A recent World Bank study shows that one percentage point increase in India's growth contributes to an increase in Bangladesh's growth by 0.4 percentage points. Hence, the highest growth at 7.5 percent of India in the region will be beneficial for Bangladesh's investment and growth through the channels of trade and services.

Economic Growth

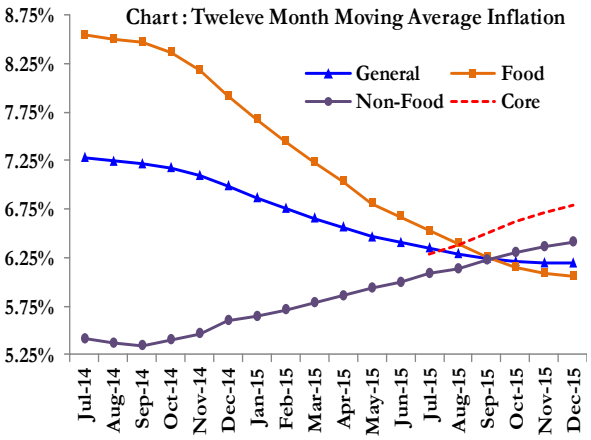
While the government targeted economic growth at 7.0 percent, the realized value may turn close to it in June 2016. Bangladesh bank forecasts, one based on an ARMA model and the other one on sector-wise 10-year average growth, show a range from 6.8 and 6.9 percent. The World Bank projects growth for 2016 at 6.8 percent. Providing electricity, gas, and



infrastructure to businesses are priorities to ensure slightly upward growth in a sustained fashion. Faster implementation of ADP will be helpful to promoting revenue and growth potentials for the country.

Inflation

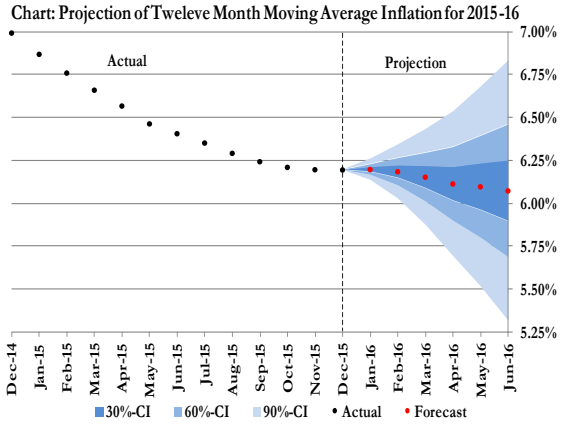
Twelve-month average CPI inflation in Bangladesh has shown a slowly declining trend for the last couple of years. Inflation, which was 7.28 percent in July 2014, gradually fell to 6.19 percent in December 2015, suggesting further decline owing to decreasing fuel and commodity prices. However, the main driver of this decline in average inflation is mainly attributable to the falling food inflation while nonfood inflation shows an upward tendency. Food inflation of as high as 8.55 percent in July 2014 slid down to 6.05 percent in December 2015 while non-food inflation of



as low as 5.41 percent kept on rising to reach 6.41 percent over the same period. Core inflation that excludes both food and fuel components rose from 6.28 percent in July to 6.79 percent in December 2015.

The forecast by the Bangladesh bank's research team finds an inflation rate of 6.07 percent in June 2016. We view two opposite tendencies to work on inflation:

Chart: Projection of Twelve Month Moving Average Inflation for 2015-16



the pay rise in the government sector is likely to raise prices at least through expectations and the fuel price adjustment by the government, if executed as committed, is likely to pull prices downward. No one is sure about its net effect. When Europe, Japan and China weaken and global oil prices foresee a further slide, Bangladesh may remain less comprehensive about inflation right now. However, the recent upward trend in nonfood and core inflation makes the central bank circumspect on monetary growth.

Money Supply

Based on the conflicting signals from general inflation and core inflation, we decide to remain on our partly cautious but generously supportive stance for inclusive, sustainable output growth. Following the

Table :Monetary Aggregates(Y-o-Y growth in%)

Item	Actual		Jul-15 MPS	Jan-16 MPS
	Jun-15	Nov-15	Jun-16	Jun-16
Net Foreign Assets*	21.3	26.3	3.2	11.1
Net Domestic Assets	9.9	10.2	19.5	16.2
Domestic Credit	10.1	10.3	16.5	15.5
Credit to the public sector	-2.5	-4.2	23.7	18.7
Credit to the private sector	13.2	13.7	15.0	14.8
Broad money	**12.4**	**13.8**	**15.6**	**15.0**
Reserve money	**14.3**	**14.4**	**16.0**	**14.3**

**Constant exchange rates of end June 2015 have been used.*

growth supportive stance, we plan to increase broad money (M_2) at the rate of 15.0 percent. This stance of money supply complies with the growth target, absorbs moderate inflation, and finally takes required level of monetization into account.

Policy Interest Rates

Based on commendable macro stability, it is the high time to stimulate investment and thus growth where political calm beckons to use improved condition in market confidence. Accordingly, we have lowered both repo and reverse repo rates by 50 basis points to reach 6.75 percent and 4.75 percent respectively. However, gains in inflation decline earned over last periods and the need to realign the rates with the markets made a case for easing of policy interest rates.

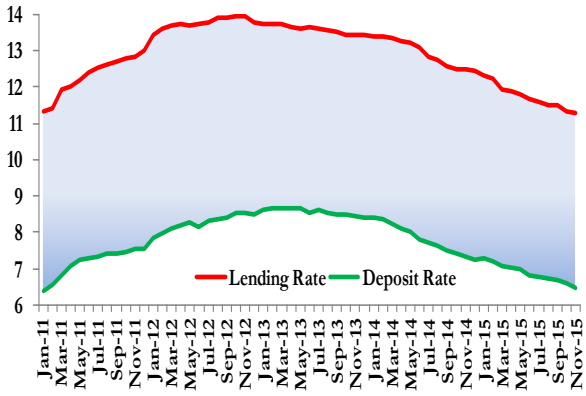
The fall in general inflation mainly came from the declining food inflation. Food inflation fell from 7.68 percent in January 2015 to 6.05 percent in December of the same year. Here runs the public perception that the fuel price reduction mainly affected general inflation. But, the government did not adjust that reduction to domestic prices yet. Although expectations owing to the global fuel price might have played a positive role in dampening inflationary concerns, the food component that

occupies almost 60 percent of the consumption basket played the major role in pulling the general inflation figure downward.

The New Year of 2016 enters a new era of lower interest rates regime. The government has indicated to lower sanchaypatra rates that supposedly impede banking deposit rates from falling. State-owned banks have recently decided to slash lending rates by 1.5 to 2.0 percentage points in a bid to compete with private banks. The central bank has sustained its pressure on all banks to reduce their spread by lowering NPLs and enhancing efficiency. If the results are summed up, lower lending rates will be the catalyst for investment stimulation.

The average lending rate fell from 12.84 percent in July 2014 to 11.27 percent in November 2015. The average deposit rate fell from 7.71 percent to 6.46 percent over the same period. Consequently, the average spread, which sits on top of the average deposit rate to give us the average lending rate, fell from 5.13 percent in July 2014 to 4.81 percent in November 2015.

Chart : Interest Rate Spread



The call money rate has fallen from 8.57 percent in January 2015 to 3.69 percent in December of the same year.

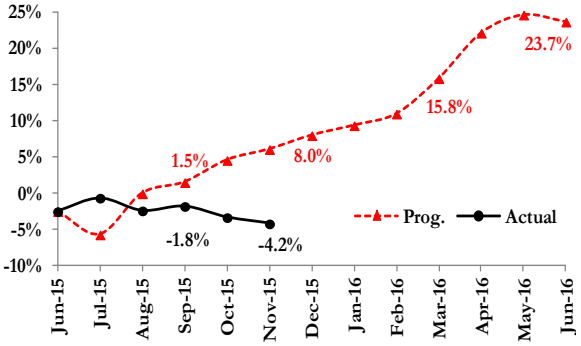
Foreign and Domestic Assets

With accommodative stance for growth supportive understandings, the stock of broad money is projected to be taka 9052 billion in June 2016. This stock comprises two figures: 1) taka 2095 billion or USD 26.7 billion as net foreign assets (NFA) and 2) taka 6957 billion as net domestic assets (NDA). The amount of NDA is projected to be composed of domestic credit of taka 8026 billion and a negative figure of taka 1068 billion against other items (net). Domestic credit, which represents a 15.5 percent rise from the previous June figure, can be decomposed between public and private sector credit as taka 1429 billion and taka 6596 billion, respectively.

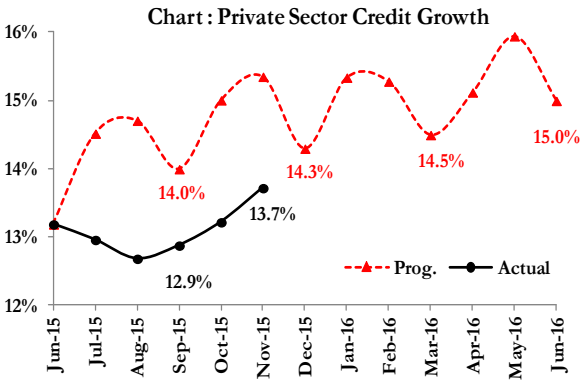
Credit Growth

Bangladesh Bank has kept sufficient provisions for the government's need. The credit growth figures in the public sectors have always been very volatile based on the actual financing needs of the government. It registered a negative figure of 2.5 percent in the last fiscal year whereas Bangladesh

Chart : Public Sector Credit Growth



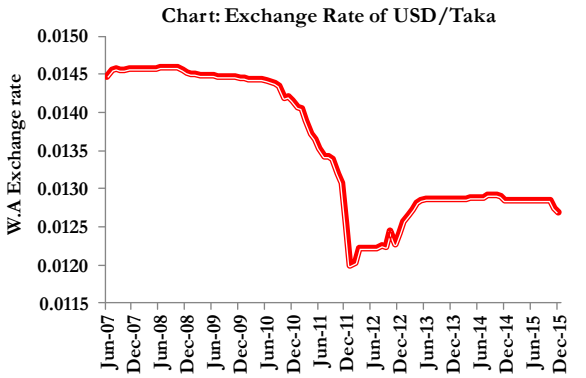
Bank projects a positive growth rate of 18.7 percent for the current fiscal year. In contrast, private sector credit growth has always remained stable particularly since the fiscal year of 2013 when the figure was



10.8 percent and has stood higher at 13.2 percent in the FY15. The growth figure rose to 13.7 percent in November 2015. All these figures were coupled with 6.5-plus percent economic growth. If the last fiscal year's 13.2 percent credit growth could endow the economy with 6.5 percent output growth, a provision of 14.8 percent private credit growth appears to be adequate to support close to 7.0 percent output growth for the current fiscal year. A new focus on credit quality is on the rise.

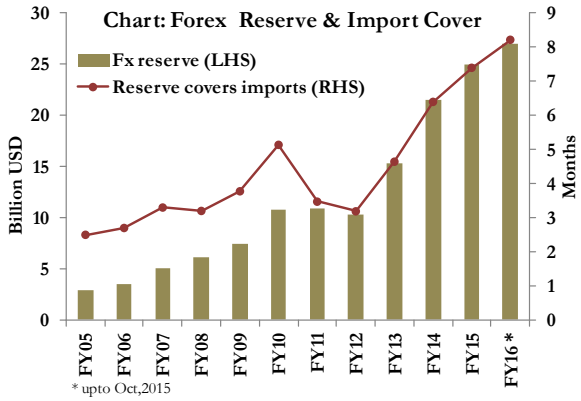
Exchange Rate and Foreign Reserves

Bangladesh Bank has kept on buying foreign exchange to protect external competitiveness of taka by easing appreciation pressures on it. The central



bank, however, exercises a managed float to maintain exchange rate stability by ironing out day-to-day fluctuations. Preserving that stability is an integral part of monetary policy although infrequent adjustments to market pressures have been carried out in the past. That policy stance helped Bangladesh Bank to maintain exchange rate stability for the last 2 years and a quarter since early 2013.

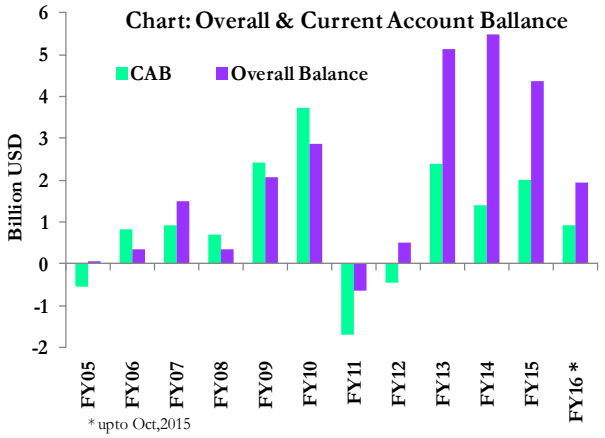
Bangladesh Bank's foreign exchange reserves have grown fast to a level generally deemed as adequate, but not yet to a level that could be viewed as excessive, seen against those of other developing economy comparators. At the moment, this amount can meet more than 7 months'



import bills. Bangladesh Bank also sees a slowdown in the growth rate of foreign exchange reserves in the near future partly because of slow growth in remittances from the Middle East countries which suffer enormous revenue losses for the fuel price decline.

Balance of Payments

At the end of the last fiscal year 2015, current account surplus stood at USD 2.00 billion. The next current account balance for the FY16 is projected to reach USD 0.96 billion which will eventually make an overall balance to the tune of USD 2.28 billion which will be added to the net foreign assets.



We expect 8.5 percent growth in both exports and imports and 5 percent increase in remittances for the FY16. Recent sustained pick up in investment and consumption imports will in the near term ease appreciation pressures on taka, enhancing its export competitiveness. The growth rate of foreign exchange reserves will slow down and the import coverage will fall before reserves turn out to be a liability. The foreign reserves are projected to keep rising to reach USD 27.2 billion in the FY16 from USD 25 billion in the FY15. The stock which is good to cover more than 7 months' import bills is a sound number in comparison to our neighboring economies.

Banking Governance

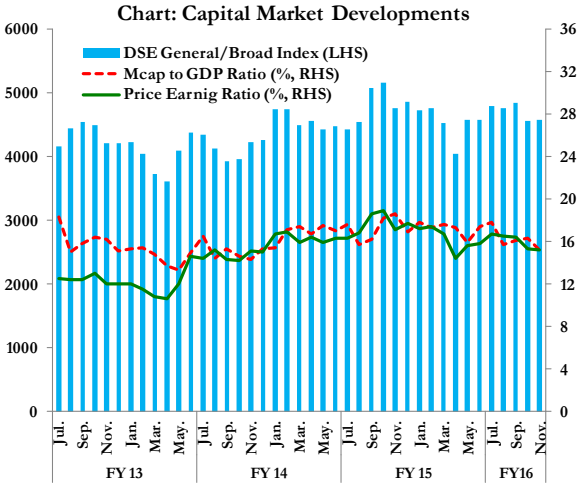
Bangladesh Bank monitors the recent rise of nonperforming loans with concern and care. While some of these figures are potentially alarming, Bangladesh Bank has already taken some corrective measures to clamp down on classified loans. Bangladesh Bank will not be lenient in this regard.

While the cases of the credible borrowers with potential for better businesses will be reviewed, the central bank will not hesitate to take any stern measures against the habitual defaulters and bad borrowers with a track record of persistent delinquencies. The central bank has taken various steps to improve supervision so financial frauds can be minimized. Digital technology has been deployed to investigate big financial transactions and loans in order to stop the repetition of banking irregularities.

Stock Market

Stock markets in Bangladesh have stabilized by now after the 2010 bubble creation and the subsequent collapse. Bangladesh Bank proactively lent hand in stabilizing the capital market, at the same time taking steps for reining in the banking sector's capital market exposures within global best practice norms linked to their capital bases.

The capital market in Bangladesh was largely stable during the first half of the FY16 as reflected in the DSE broad index (DSEX), market capitalization, and the price-earnings ratio. The DSEX index stood at



4581 at the end of November 2015 which is almost at the same level of 4583.1 in June 2015. The market capital to GDP ratio declined to 15.12 percent at the end of November 2015 from 17.85 percent in June

2015. The price earnings ratio of the DSE also declined to 15.21 in November 2015 from 15.85 in June 2015. However, the stock market has shown an uptrend since the end of 2015. The central bank has been devising ways to make the stock market operate at its full potential.

Financial Stability

Following the global financial crisis, financial stability concerns attained high priority in Bangladesh as everywhere else worldwide. Stress testing exercises are now routine practices in Bangladesh as diagnostic and supervisory tools. Bangladesh Bank and all other financial sectors, capital markets, the insurance sector, regulatory authorities in Bangladesh hold regular quarterly consultations toward policy coordination upholding financial stability.

New Lending Facilitation Initiatives

To activate banks in utilizing idle liquidity in productive lending to farm and nonfarm MSMEs, Area Heads of Bangladesh Bank offices have been advised to engage in field visits with bankers in search for eligible clients still out of financial inclusion initiatives of banks. To further expand the existing clientele, Bangladesh Bank also advises all banks to send their officials to explore new lending opportunities which had not been cultivated yet. These clientele exploration initiatives warrant better connectivity between the lenders and the prospective borrowers who may not typically look creditworthy. These initiatives will hopefully create more productive credit demand and new employment opportunities in the economy.

Selective Easing

In the FY16 Bangladesh Bank will continue with the existing stance that is cautious overall but clearly accommodative in supporting productive pursuits. Commercial banks have been motivated and supported in extending loans to the productive and vulnerable sectors at lower interest rates. Green projects will avail loan at a lower rate and so will export promotion activities. The World Bank has committed to contribute USD 300 million as credit. The World Bank money will be for medium to longer term foreign currency financing of manufacturing projects. Bangladesh Bank will add another USD 200 million which will be specifically for greening initiatives in the export oriented textiles, apparels, and leather sectors.

In summary, a fund for USD 500 million will be created to support medium and long-term projects, especially environmentally responsible investments at lower interest rates. Bangladesh Bank extends low cost funds to promote women entrepreneurships, skill building projects, and energy expansion initiatives.

Bangladesh Bank has been instrumental to arranging the issuance of the IFC bond which will be in taka equivalent to USD 1 billion. The Export Development Fund (EDF) has been increased to USD 2 billion from only USD 100 million in 2006. Peasants get low cost credit and so do sharecroppers.

Thus, Bangladesh Bank has adopted selective easing through judicious variations of interest rates. If taken together, the productive sectors are accessing low cost financing and hence contributing substantially to the supply side capacity of the economy.

Developmental Central Banking

Protecting macro-financial stability is now universally accepted as a core responsibility of central banking. Macro-financial stability is impacted not only by shorter term business cycle related risks but also by longer term environmental risks and inequity driven social instability risks. Bangladesh Bank has been one of the few forerunner central banks addressing these risks in its monetary and financial policies, promoting socially responsible inclusive and environmentally sustainable financing.

Bangladesh Bank's attention towards promoting inclusive, environmentally sustainable financing is not in any way impairing its core price stabilization objective, as evident from the sustained spell of Bangladesh's inflation moderation and macroeconomic stability. Bangladesh bank's attention to promoting inclusive, environmentally sustainable financing is already paying off by upholding buoyancy of domestic demand and growth dynamism. Unlike amorphous quantitative easing in advanced economies spilling into asset markets and further enriching the affluent; Bangladesh Bank's monetary and financial policy support interventions focused on inclusive and green growth are creating new output, employment, and income opportunities in large scales, in all economic sectors including agriculture, manufacturing, and services. Bangladesh Bank believes that these innovative approaches rather than indiscriminate monetary expansion are the launching pads needed for transition to Bangladesh's aspired higher growth trajectory.

Annex 1: Bangladesh Balance of Payments

In million US$

Particulars	Actual				Projection
	2011-12	2012-13	2013-14	2014-15[R]	2015-16
Trade balance	**-9,320**	**-7,009**	**-6,794**	**-6,277**	**-6,811**
Export f.o.b.(including EPZ)	23,989	26,567	29,777	30,768	33,383
Import f.o.b (including EPZ)	33,309	33,576	36,571	37,045	40,194
Services	**-3,001**	**-3,162**	**-4,099**	**-4,628**	**-5,376**
Receipts	2,694	2,830	3,115	3,017	2,957
Payments	5,695	5,992	7,214	7,645	8,333
Primary income	**-1,549**	**-2,369**	**-2,635**	**-2,995**	**-3,309**
Receipt	193	120	131	74	67
Payments	1,742	2,489	2,766	3,069	3,376
Secondary income	**13,423**	**14,928**	**14,934**	**15,895**	**16,451**
Official transfers	106	97	83	75	150
Private transfers	13,317	14,831	14,851	15,820	16,301
*Of which: W*orkers' remittances	12,734	14,338	14,116	15,170	15,929
CURRENT ACCOUNT BALANCE	**-447**	**2388**	**1406**	**1995**	**955**
Capital account	**482**	**629**	**598**	**483**	**550**
Capital transfers	482	629	598	483	550
Financial account	**1436**	**2770**	**2855**	**2868**	**774**
Foreign Direct investment	1191	1726	1474	1830	1950
Portfolio investment	240	368	937	618	550
Other investment	5	676	444	420	-1726
Net aid flows	750	1179	1386	1562	1300
MLT loans	1539	2085	2404	2472	2450
MLT amortization payments	789	906	1018	910	1150
Other long term loans	79	-150	477	-33	-378
Other short term loans	242	-193	-838	-161	-575
Trade credit	-1118	-250	-340	-1750	-1666
Commercial Bank (DMBs & NBDCs)	52	90	-241	802	-407
Assets	443	396	898	86	157
Liabilities	495	486	657	888	-250
Errors and omissions	**-977**	**-659**	**624**	**-973**	**0**
OVERALL BALANCE	**494**	**5128**	**5483**	**4373**	**2279**
Reserve Assets	-494	-5128	-5483	-4373	-2279
Bangladesh Bank	-494	-5128	-5483	-4373	-2279
Assets	293	5196	5933	4249	2179
Liabilities	-201	68	450	-124	-100

Source: Statistics Department, Bangladesh Bank, EPB and the Ministry of Finance. R: Revised

Monetary Policy Flowchart

Developments/Information

- ✓ GDP growth & inflation
- ✓ Growth of monetary aggregates
- ✓ Liquidty Situation
- ✓ Short-term interest Rates
- ✓ Foreign Reserves & Exchange Rates

Policy Decision

Based on market information and judgment of the policy makers

Instruments

- ✓ Open market operations (Repo, Reverse Repo and BB bill auctions)
- ✓ Variation in reserve ratios

Targets

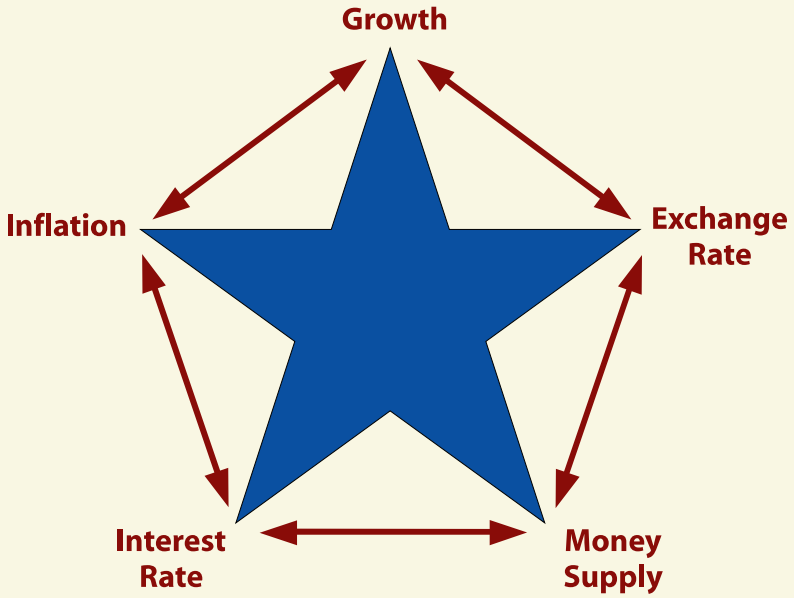
i) Operating Target
- ✓ Reserve Money

ii) Intermediate Target
- ✓ Broad Money
- ✓ Interest Rates

Goals

Moderate Inflation

Sustainable Growth



THE STAR MODEL OF MONETARY POLICY

